THE INSTITUTE OF BANKERS, BANGLADESH (IBB)

96th Banking Professional Examination, 2023

JAIBB

Laws and Practice of General Banking (LPGB)

Subject Code : | 1 | 0 | 4 |

Time—3 hours

Full marks—100

Pass marks—45

[N.B. The figures in the right margin indicate full marks. Answer any **five** *questions of which two must be from Group B.]*

Group A

Marks

1. *(a)* What procedure does a banker follow in opening a new account? What precautions does he take in opening the account of Politically Exposed Persons (PEPs) and why? 5+5=10

   (b) Why is introduction necessary for opening an account? What are the liabilities and responsibilities of the introducer? 5+5=10

2. *(a)* What are negotiable instruments and their characteristics? Would you considered the following a negotiable instrument? Give reasons: 5+5=10

   (*i*) Bill of Lading
   (ii) Railway Receipt
   (iii) Life Insurance
   (iv) Promissory Note
   (v) A Debenture.

   (b) What do you understand by payment in due course? Bring out the main difference between "Holder for Value" and "Holder in due Course". 5+5=10

3. *(a)* Explain the term "Collecting banker". What are his duties and responsibilities in this connection? 4+6=10

   (b) A crossed order cheque for Tk. 30,000 drawn on 'X' bank is collected by 'P' bank for the latter's customer in whose favour it has been indorsed by the payee. Discuss the position of the payee bank and the collecting bank: 10

   (*i*) If the signature of the drawer has been forged.

   (ii) If the endorsement of the payee has been forged.

4. *(a)* State the right and duties of banker and customer. 6

   (b) What are service charges? Recently service charges have been increased? Do you justify this increase? If so, why? 2+5=7

   (c) What are the ancillary services rendered by banks to their customer? 7

[Please turn over

Marks

5. *(a)* What is Departmental Control Function Check list (DCFCL) in banking? Write the implications of DCFCL for a bank. 4+6=10

(b) How morning call reduce the risk of the bank? Explain elaborately. 10

6. Distinguish between any 4 (**Four**) of the following: 5×4=20
   (*i*) Bankers Lien and Bankers of set off.
   (ii) Bid Bond and Performance Guarantee
   (iii) Traveller's Cheque and Circular letter of Credit
   (iv) Deposit Bank and Mixed Bank
   (v) Transferability and Negotiability
   (vi) Conditional Endorsement and Restrictive Endorsement.

Group B

7. *(a)* What do you mean by money laundering under Money Laundering Prevention Act, 2012? 6

(b) Discuss the negative effects of money laundering. 6

(c) What measures can be taken to protect money laundering? 8

8. *(a)* In which situations the office of a director falls vacant according to Banking Companies Act, 1991? 7

(b) State the general limitations of credit limit as mentioned in Banking Companies Act, 1991. 6

(c) What are the restrictions on loans and advances stated in Banking Companies Act, 1991? 7

9. *(a)* Who are the authorized dealers in Bangladesh as per Foreign Exchange Regulations Act, 1947? 4

(b) 'Money Changers have very limited scope of operation than AD branches of a scheduled bank'—Please explain. 6

(c) State the scope and main purposes of the Foreign Exchange Regulation Act, 1947. 10

10. *(a)* Discuss the main provisions of laws relating to the Artho Rin Adalat Act, 2003. 7

(b) Discuss the salient features of the Bankruptcy Act, 1997. 7

(c) Do you thing the existing laws relating to Artho Rin Adalat and Bankruptcy law are adequate to deal with the delingment borrowers? Please discuss. 6

THE INSTITUTE OF BANKERS, BANGLADESH (IBB)
97th Banking Professional Examination, 2023
JAIBB
Laws and Practice of General Banking (LPGB)

Subject Code : 1 0 4

Time—3 hours
Full marks—100
Pass marks—45

[N.B. The figures in the right margin indicate full marks. Answer any **five** *questions of which* **two** *must be from group B.]*

Group A

Marks

1. *(a)* Describe the bank's responsibility to the customer and the customer's responsibility to the bank. 5
   (b) Describe general and special relationship between banker and customer. 6
   (c) Briefly discuss the functions of commercial banks regarding the following activities : 9
   (i) General Banking
   (ii) Credit/Advance
   (iii) International Trade.
2. *(a)* Define cheque. Discuss the main features of cheque. 6
   (b) What is MICR cheque? Draw a specimen of MICR cheque. 6
   (c) When can a banker legally return a valid cheque without payment? 8
3. Bangladesh Bank has published a guideline recently for establishing digital bank in the country. Answer the following questions based on your understanding on the published guideline :
   (a) What is digital banking? What are the key difference between a digital bank and a conventional bank? 2+3 =5
   (b) What are the main features of digital bank? 5
   (c) Do you think that the digital bank will emerge as a disruptive force in our banking industry? Give your opinion. 10
4. *(a)* You are in the 'Account Opening' department of your branch. One day three prospective customers approach you to open accounts with your branch for their business. Mr. A is the owner of OP Enterprise. Mr. B is the Managing Director of QR Services Ltd. and Mr. C is the Chairman of ST Co-operative Society.
   (i) What types of accounts will you suggest them to open with your branch for ensuring long term business relationship and why? 4
   (ii) State the names of all documents that each of them has to provide for opening the accounts. 6
   (b) Mr. Hasan is maintaining a current account with your branch in his name. His wife comes and informs you that her husband Mr. Hasan is down with paralysis and cannot sign. She wants to draw Tk. 50,000 immediately for her husband's treatment. As a Branch Manager how would you deal the situation? 10

[Please turn over

Marks

5. *(a)* Define dormant account. What precautions would you take in dealing with a dormant account? 3+7 =10

(b) There is a savings bank account at your branch in the name of Mr. Nazmul Karim and Mrs. Khaleda Karim payable to either or survivor. The account has remained dormant since 2015. In January 2022, Mr. Shamsul Karim aged 22 years, claiming to be the only son of Mr. Nazmul Karim approaches you and informs as follows : 10

(i) He holds a statement of this account.
(ii) His mother Khaleda Karim died in 2012.
(iii) His father has left the house is 2010 and in missing since then.
(iv) He has the information that a safe deposit locker also there in their name. The key of the locker is not traceable.

He requests you to make payment of the balance in the account to him and also to deliver the contents lying in the locker to him. How would you deal with the case?

6. Distinguish between any **four** of the following : 5×4=20

(i) Pledge and Hypothecation
(ii) Drawing Power and Power of Attorney
(iii) Cheque and Bank Draft
(iv) Bill of Lading and Bill Entry
(v) Holder in due course and Holder for value
(vi) ATM and POS.

Group B

7. *(a)* Define Hundi. Can it be considered as a negotiable instrument? 6

(b) What are the reasons for sending money through hundi? 7

(c) How is Hundi affecting the economy of Bangladesh? 7

8. *(a)* Define Transfer of Property Act. What kind of property can be transferred under the transfer of Property Act and who can transfer? 3+7 =10

(b) What kind of property cannot be transferred? 5

(c) Describe the rights and liabilities of a buyer as per Transfer of Property Act 1882? 5

9. Bank Company Act 1991 has been amended recently by adding some provisions related to loan defaulters. Answer the following questions in light of the amended Act :

(a) Define willful defaulter 5

(b) Will a sister concern of a defaulted group be eligible for granting fresh loan? 5

(c) What are the major consequences for the habitual loan defaulter? 5

(d) What measures would you take for the willful defaulter? 5

10. Write short notes on any **four** of the followings : 5×4=20

(a) Bankers Book
(b) Memorandum of Association
(c) Suspicious Transactions
(d) RTGS
(e) Deposit Insurance Act, 2000
(f) e-KYC.

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98th Banking Professional Examination, 2024

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[N.B. The figures in the right margin indicate full marks. Answer any **five** *questions of which* **two** *must be from Group B.]*

Group A Marks

1. *(a)* What is the meaning of "Crossing a cheque"? What does this crossing signify? Who can cancel the crossing? 2+3+2=7

   (b) A cheque bears a cross across its face an addition of the word "and Companies"; again a cheque crossed generally bears across its face an addition of the words "account payee". What is the difference between these two cheques according to NI Act, 1881? 6

   (c) Can a bank issue demand draft payable to a bearer? A demand draft issued by you on one of your branches is lost before it reaches to the recipient. As a banker what steps will you follow when the purchaser of the draft demands his money back? 3+4=7

2. *(a)* What do you mean by "Bancassurance"? 5

   (b) What are the prospects and challenges of Bancassurance in Bangladesh? 7

   (c) Will Bancassurance improve insurance landscape in Bangladesh? Give your opinion elaborately. 8

3. *(a)* Explain the Baker Customer Relationship regards to—

   (i) Bailor-Bailee

   (ii) Lessor-Lessee. 3+3=6

   (b) Who is walk in customer? Write the responsibilities of a banker in dealings with a walk in customer. 2+4=6

   (c) A person opened an account on 12-12-2008 in your bank with initial deposit Tk. 25.00 lac. First time customer came to your branch and placed a cheque of Tk. 10.00 lac on 15-12-2023. Explain the status of account and also explain the situation with what you had taken before that. 8

4. *(a)* Who is minor according to Majority Act, 1875. Explain the operational procedures of minor A/c. 2+5=7

   (b) What procedure and precautions should the banker takes in operating a joint account? Can the balance of joint account of husband and wife be paid to wife after the death of her husband? 4+3=7

   (c) Mr. Abdullah a retired govt. official, had been maintaining a savings account with ABC Bank, Gulshan Branch . He authorized his second wife Mrs. Aziza Abdullah, who had no children, as a nominee of this account and they lived together with their two children along with his 1st wife Mrs. Hanufa Abdullah. Unfortunately, Mr. Abdullah at his age of 66 died. After one month, his two children came to branch and reported about their father's death in black and white. In the next day, Mrs. Hanufa Abdullah came to bank branch with her lawyer and submit an application to Branch Manager (BM) for transferring his husband's proceeds to her personal account maintaining jointly with the deceased at the same branch. Now what will branch manager do? Explain the next course of actions. 6

[Please turn over

Marks

5. (a) What do you understand by payment in due course? Bring out the difference between "Holder for value" and "Holder in due course". 2+4=6

(b) Define endorsement. Explain types of endorsement. What are the general principles governing endorsement? 2+4+2=8

(c) What is negotiation? How is it effected and how does it differ from an ordinary assignment? 2+4=6

6. Write short notes on any **five** of the followings : .4×5=20

(a) SMART + 300 basis point

(b) Crawling Peg System

(c) Prompt Corrective Actions (PCA)

(d) Deposit Insurance Trust Fund (DITF)

(e) Departmental Control Function Check List (DCFCL)

(f) Deposit Mix.

Group B

7. (a) What regulatory measures should be taken by central bank to improve governance in the banking sector? Give your view. 7

(b) What regulatory measures should be taken to reduce default loans in the banking sector? Give your view. 6

(c) Section 77 Ka of the Bank Company (Amendment) Act, 2023 has entrusted Bangladesh Bank with legal power to take early action *i.e.* PCA (Prompt Corrective Action) for the proper management of weak bank company and some resolution measures like merger, reconstructions, etc. Do you consider this amendment and measures to be taken by Bangladesh Bank would contribute to bringing more discipline and good governance in the banking sector? 7

8. (a) Describe the status of Bangladesh Bank Order, 1972 as law. 5

(b) What are the limitations of NBFIs for collecting deposits? What provisions are adopted in Finance Company Act, 2023 to attract the foreign investment in financial institutions operating in Bangladesh? 3+5=8

(c) Mr. 'X' owes Tk. 4.00 crore to ABC Bank PLC, which has been marked as defaulted loan. The collateral security amounting to Tk. 3.50 crore had been mortgaged with the said loan. What will be the procedure the bank will adopt to recover the loan according to Artho Rin Adalot Ain, 2003? 7

9. (a) What is meant by Bankruptcy? When a suit can be filed in the Bankruptcy Court? 3+3=6

(b) What are the rights and previleges that a Bankrupt is dropped off? Discuss the procedure of discharge of the Bankrupt. 4+4=8

(c) Discuss how Bankruptcy Act helps managing the loan portfolio of a bank. 6

10. (a) Write the procedure of disposing of "Unclaimed Deposit" by banks in according with section no.35 of Bank Company Act, 1991? Whose deposit amount cannot be surrendered to Bangladesh Bank although it is unclaimed? 4+3=7

(b) What do you mean by Enhanced Due Diligence (EDD) measures in AML system? How do you define Ethical Risk in Banking? 3+3=6

(c) Explain the stages of Money laundering. What is the threshold limit of CTR? 5+2=7

[বাংলা অনুবাদ]

[দ্রষ্টব্য : ডান পাশের সংখ্যা প্রশ্নের পূর্ণমান জ্ঞাপক। যে কোনো পাঁচটি প্রশ্নের উত্তর দিতে হবে। তন্মধ্যে দু'টি প্রশ্নের উত্তর খ বিভাগ থেকে দেয়া আবশ্যক।]

ক বিভাগ

নম্বর

১। (ক) "রেখাঙ্কিত চেক" এর অর্থ কী? চেকে এরূপ রেখা অঙ্কন কি গুরুত্ব বহন করে? চেকের রেখা অঙ্কন কে বাতিল করতে পারে? ২+৩+২=৭

(খ) একটি রেখাঙ্কিত চেকে "এন্ড কোম্পানি" শব্দ সংযোজন রয়েছে। অপর একটি রেখাঙ্কিত চেকে "একাউন্ট পেয়ি" শব্দ সংযোজন রয়েছে। নেগশিয়েবল ইন্সট্রুমেন্ট এ্যাক্ট, ১৮৮১ অনুসারে উল্লিখিত রেখাঙ্কিত চেক দুটির পার্থক্য নিরূপণ করুন। ৬

(গ) ব্যাংক কি ব্যাংককে প্রদানযোগ্য ডিমান্ড ড্রাফট ইস্যু করতে পারে? আপনার ব্যাংকের অন্য শাখায় প্রদানযোগ্য একটি ডিমান্ড ড্রাফট প্রাপকের নিকট পৌছানোর আগে হারিয়ে যায়। ক্রেতা ড্রাফটের অর্থ দাবি করলে ব্যাংকার হিসেবে আপনি কী পদক্ষেপ গ্রহণ করবেন? ৩+৪=৭

THE INSTITUTE OF BANKERS, BANGLADESH (IBB)

99th Banking Professional Examination, 2024

JAIBB

Laws and Practice of General Banking (LPGB)

Subject Code : 1 0 4

Time—3 hours

Full marks—100

Pass marks—45

[N.B. The figures in the right margin indicate full marks. Answer any **five** *questions.]*

Marks

1. Write shorts notes on any **four** of the following : 5×4=20
   - *(a)* Treasury Bond
   - *(b)* Dormant Account
   - *(c)* Garnishee Order
   - *(d)* Security Features of a Note
   - *(e)* Alternative Dispute Resolution
   - *(f)* Mobile Financial Services.

2. *(a)* What is standing instruction? State the procedure of stop payment instruction. 10
   - *(b)* When a banker can legally return a valid cheque without payment? 5
   - *(c)* What are the measures to be taken if a fake note is detected in a bank branch? 5

3. *(a)* What do you mean by CTR and STR? 5
   - *(b)* What are the different tools used for identifying suspicious transactions? 10
   - *(c)* Mr. Karim, a cloth merchant, is maintaining a current account with your branch. At the time of opening the account he declared that he would transact on an average Tk. 5,00,000 daily from his business. However, it is observed that his transaction is Tk. 20,00,000 to 25,00,000. As a banker how would you act in this situation and how would you report the matter to the Bangladesh Bank? 5

4. *(a)* Central Bank is the lender of last resort—Explain. 5
   - *(b)* Central Bank has been given the exclusive right to issue note. Do you think it is justified? 7
   - *(c)* Discuss the role of Bangladesh Bank as the supervisor of banking system in Bangladesh. 8

[Please turn over

Marks

5. *(a)* What do you mean by a collecting banker? 3

(b) Discuss the statutory protection granted to the collecting banker under the Negotiable Instrument Act, 1981. 7

(c) A crossed order cheque for Tk. 3000 drawn on 'X' bank is collected by 'P' bank for the latter's customer in whose favour it has been endorsed by the payee. Discuss the position of the payee bank and the collecting bank : 10

(i) if the signature of the drawer has been forged.

(ii) if the endorsement of the payee has been forged.

6. *(a)* Discuss the main provisions of Artha Rin Adalat Ain, 2003 with its latest amendments. 10

(b) How does Artha Rin Adalat help recovery of stuck up loans? 10

7. *(a)* Discuss in brief the main functions of a commercial bank. 10

(b) How does a commercial bank differ from a non bank financial institute? 5

(c) State whether each of the following statement is true or false : 5

(i) Deposits constitute the major source of bank funds.

(ii) Loans and advances are the liquid assets of a bank.

(iii) Only schedule banks have the responsibility to maintain cash reserve with the central bank.

(iv) Non-banking assets and non-performing assets are synonymous terms.

(v) The interest rate at which the commercial banks lend to its customers on their loans and advances is termed as Bank Rate.

8. *(a)* What formalities and precautions would you take before opening the account of a *(i)* Joint Stock Company and *(ii)* Co-operative Society. 6+6 =12

(b) Mr. Azmal Hossain is maintaining a current account with your branch with a balance of Tk. 3,00,000. His wife came and informed that her husband is down with paralysis and cannot sign. She wants to draw Tk. 1,00,000 for his treatment urgently. How would you deal the situation as a branch manager? 8

9. *(a)* Define Money Laundering under the Money Laundering Prevention Act, 2012. 5

(b) What is Hundi? How does Hundi affect the economy of Bangladesh? 10

(c) Discuss the responsibilities of the reporting organizations in prevention of money laundering. 5

10. Distinguish between any **four** of the following : 5×4=20

(a) Pledge and Hypothecation

(b) Repo and Reverse repo

(c) Pay order and Bank draft

(d) ATM and POS

(e) Bank rate and Lending rate

(f) Bill of lading and Bill of entry.

THE INSTITUTE OF BANKERS, BANGLADESH (IBB)
5th Banking Professional Examination, April-2025
JAIBB
Laws and Practice of General Banking (LPGB)

Subject Code : 1 0 4

Time—3 hours
Full marks—100
Pass marks—45

[N.B. The figures in the right margin indicate full marks. Answer any **five** *questions.]*

Marks

1. Write short notes on any **four** of the following: 5×4=20
   (a) Financial Literacy
   (b) Half note
   (c) Stale cheque
   (d) CDD
   (e) Lease Finance
   (f) Minor Account

2. *(a)* What is relationship Banking? 5
   (b) Under what circumstances can a banker disclose the secracy of a customer account? 5
   (c) What is the difference between a cheque and a bank draft? 5
   (d) A issue an 'open bearer' cheque to B for Tk. 5,000 who strikes out the word 'bearer' and puts crossing across the cheque. The cheque is thereafter negotiated to C, D, and E. When it is finally presented to E's banker, it is returned with remarks, "Payment countermanded by the drawers". In response to legal notice from E, A pledge, that— 5
   (i) The cheque was issued to B under threat from him; and
   (ii) The cheque was altered after it had been issued and thereafter he (A) is not bound to pay the cheque. Please discuss whether A's argument is valid or not. Give reasons.

3. *(a)* What procedures should the banker adopt in opening and operating a joint account? 10
   (b) Can the balance in the joint account of husband and wife be paid to wife after the death of her husband? 5
   (c) Mr. Aman and Mr. Zaman have a joint savings account with your branch payable to either or survivor. Mr. Aman dies and his heirs claim 50% of the balance standing in the account. As a manager what step would you take in such a situation? 5

4. *(a)* Who is walk-in customer? Write the responsibilities of a banker in dealings with a walk-in customer. 3+7 =10
   (b) Can the bank issue a demand draft payable to a bearer? Explain. 5
   (c) A demand draft issued by you on one of your branches is lost before it reaches to the recipient. As a banker what steps will you follow when the purchaser of the drafts demand his money back? 5

[Please turn over

Marks

5. *(a)* What is Registration Act? What are the objectives of the Registration Act? 3+7 =10

(b) When does the title pass to transferee in case of a registration of document? 5

(c) Mr. Rahman, a Bangladeshi Muslim national has gifted two pieces of land to Mr. Kamal, one in the district of Rajshahi and other at Mymenshingh. The value of each land is Tk. 10 lakh. Mr. Rahman seeks your advice for the registration of the land of gift. Advise Mr. Rahman. 5

6. *(a)* Describe General and Special relationship between banker and customer. 10

(b) Why is introduction necessary for opening an account with the bank? 5

(c) State whether each of the following statement is true or false: 5

(i) An illiterate person cannot open a bank account.

(ii) Monetary policy formulation is one of the main function of commercial bank.

(iii) Basic Bank PLC is a stateowned commercial bank.

(iv) In case of pledge the possession of the security is with the debtor.

(v) A minor cannot accept a bill.

7. *(a)* Discuss the importance of KYC to prevent money laundering and terrorist financing. 8

(b) What are the documents you need to verify KYC requirement? 6

(c) How does money laundering affect Bangladesh economy? 6

8. *(a)* State the scope and main purpose of the Foreign Exchange Regulation Act (FERA), 1947. 10

(b) Who are the authorized dealer in Bangladesh? 5

(c) Define blocked account and special account as per FERA, 1947. 5

9. *(a)* Describe the reasons for huge amount of bad loans in banks of Bangladesh. What legal measures are available for recovery of bad loans? 6+4 =10

(b) Do you think Bangladesh Bank's steps are adequate for monitoring of classified loans and advances, so that no new loan further classified? 10

10. Distinguish between any **four** of the following: 5×4=20

(a) Contract and Agreement

(b) Primary Security and Collateral Security

(c) Bid, Bond and Performance Guarantee

(d) Banker's lien and Banker's right of set-off

(e) Drawing power and Power of attorney

(f) Guarantee and Indemnity.

THE INSTITUTE OF BANKERS, BANGLADESH (IBB)

6th Banking Professional Examination, 2025

JAIBB

LAWS AND PRACTICE OF GENERAL BANKING (LPGB)

Subject Code : 1 0 4

Time—3 hours

Full marks—100

Pass marks—45

[N.B. Answer the questions as mentioned in different parts.]

Part A—Broad Questions

(Answer any **two** questions)

Marks—20×2=40

1. *(a)* Explain how a creditor can file a suit under the Bankruptcy Act, 1997. What legal measures are available to a creditor if a debtor conceals on fraudulently transfers properly before the declaration of bankruptcy?

   (b) Under what circumstances can a debtor voluntarily file for bankruptcy? What are the consequences for a debtor after bankruptcy is filed?

2. *(a)* Define money laundering under the Money Laundering Prevention Act, 2012. What are the punishments for providing false information under the Act?

   (b) What do you know about CTR and STR? Mention some of the indicators of suspicious transition and write the procedure to submit STR.

3. *(a)* Define the term 'registration' under the Registration Act, 1908. What are the legal consequences if a document that is required to be compulsorily registered under the Act is not registered with respect to immovable properly?

   (b) Define gift. What are the essential elements of a valid gift under the Act?

4. *(a)* Define dormant account. What are the consequences of dormant account? What precautions would you take in dealing with a dormant account?

   (b) Why positive pay instruction is important to honor a cheque? What precaution to be taken in opening a student account and a minor account?

[Please turn over

Part B—Mathematical Problem

(Answer any **one** question)

Marks—10×1=10

5. A customer wants to know the exact interest payable on a Fixed Deposit Receipt (FDR) of BDT 10·00 lakh for a tenure of six months. Assuming the current interest on fixed deposits is 10% per annum, calculate the exact amount of interest payable at maturity.

6. ABC Bank has the following financial data as of December 31st.

   Tier-1 Capital : BDT 1500 crore

   Tier-2 Capital : BDT 500 crore

   Deductions from capital : BDT 200 crore

   Total Risk Weighted Assets (RWA) : BDT 18000 crore.

   Calculate the Capital Adequacy Ratio (CAR) of the banks. Based on your calculation assess whether ABC Bank complies with the minimum regulatory capital requirements including the capital conservation buffer as per Bangladesh Bank guidelines.

Part C—Problem Solving

(Solve any **one** case)

Marks—20×1=20

7. **Case-1 :** Cheque Dishonor Under Negotiable Instruments Act, 1881.

   Background :

   Iqbal Traders, a wholesaler, sold electronic goods worth BDT 3,00,000 to Mr. Karim on credit to settle the transaction, Mr. Karim issued a cheque dated 10th January 2024, drawn on ABC Bank, payable to Iqbal Traders.

   Iqbal Traders presented the cheque for encashment on 11th January 2024, but it was returned unpaid with the remarks 'Insufficient Funds' on 13th January 2024.

   Iqbal Traders sent a legal notice on 17th January 2024 demanding payment within 15 days as per section 138 of the Negotiable Instruments Act, 1881. Mr. Karim failed to make the payment within the stipulated period.

   Iqbal Traders filed a criminal complaint under section 138 of the Act on 5th February 2024.

   Answer the following questions in light of the facts presented in the case :

   (i) Explain the essential conditions that must be satisfied to constitute an offence under section 138. Do the facts of this case satisfy all the conditions?

(ii) Evaluate whether Iqbal Traders followed the legal procedure under section 138. Did they comply with the timeline prescribed for issuing notice and filing the complaint. Support your answer with relevant time calculations.

(iii) What are the legal consequences for Mr. Karim under section 138 upon filing to make payment after receiving the legal notice? What possible defences, if any, can he raise in his favour?

(iv) If the criminal complaint under section 138 fails, what alternative legal options are available to Iqbal Traders for recovering the debt?

8. **Case-2 ;** Willful default by M/S Skyscraper Ltd.

Case Scenario :

M/S Skyscraper Ltd. a renowned real estate company, availed a term loan of BDT 500 crore from ABC Bank in 2020. The loan was sanctioned for the development of a commercial real estate project in Dhaka.

By mid 2023, the company defaulted on repayments. Upon investigation, the bank found :

- The company had diverted a substantial portion of the loan amount to unrelated business activities.
- Directors has siphoned off funds to associate companies owned by family members.
- The project site remained largely undeveloped and there were no visible signs of construction progress.
- Despite defaulting, the promoters continued to maintain a lavish lifestyle and acquired high value personal assets abroad.

Based on this, ABC Bank initiated action under Bangladesh Bank's guidelines and declared M/S Skyscraper Ltd. as a willful defaulter.

Based on the case study above, answer the following questions :

(i) Define willful defaulter as per Bangladesh Bank guidelines.

(ii) Based on the case, indentify and explain the actions taken by ABC Bank that justify their classification as a willful defaulter.

(iii) How does classification as a willful defaulter impact M/S Skyscraper Ltd's future operations?

(iv) Should the directors of M/S Skyscraper Ltd. be held personally liable? Justify your answer with reasons.

[Please turn over

Part D—Understanding Terminology

(Answer any **five** questions)

Marks—2×5=10

9. Compare and contrast between any **five** of the following :

(*a*) Impressed Stamp vs Embossed Stamp

(*b*) Guarantee vs Indemnity

(*c*) Nostro Account vs Vostro Account

(*d*) Fixed Charge vs Floating Charge

(*e*) Pledge vs Hypothecation

(*f*) Broad Money vs Narrow Money

(*g*) Memorandum of Association vs Articles of Association

(*h*) CRR vs SLR.

Part E—Short Questions

(Answer **all** the Questions)

Marks—2×10=20

10. Briefly answer the following questions :

(*a*) According to Bangladesh Bank guidelines what percentage of immovable properly can a financial institutions acquire or hold, relative to its paid up capital and reserves?

(*b*) What is the minimum monetary value of a suit that can be filed in the Artha Rin Adalat?

(*c*) Which act regulates the use of digital signatures in Bangladesh?

(*d*) As per the ICT Act, 2006, what is the retention period for electronic records in Bangladesh?

(*e*) What is the punishment for conducting financing business without a valid license under the Financial Institutions Act, 1993?

(*f*) What do you know about Contact Point Verification (CPV)?

(*g*) What is standing instructions?

(*h*) What is the significance of crossing a cheque?

(*i*) What is the limitation period for filing a suit for breach of contract?

(*j*) Which document must a customer submit to the bank to obtain a duplicate Fixed Deposit Receipt (FDR)?